

THE APPRAISAL PROCESS

Performance appraisal is defined as evaluating an employee's current or past performance relative to his or her performance standards. The appraisal process therefore involves: (1) setting work standards; (2) assessing the employee's actual performance relative to these standards; and (3) providing feedback to the employee with the aim of motivating that person to eliminate performance deficiencies or to continue to perform above par. You've probably already had experience with performance appraisals. For example, some colleges ask students to rank instructors on scales like the one in Figure 9-1. Do you think this is an effective scale? Do you see any way to improve it? These are two of the questions you should be better able to answer by the end of this chapter.

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APPRAISAL METHODS

The appraisal itself is generally conducted using a predetermined and formal method like one or more of those described in this section.

Graphic Rating Scale Method

graphic rating scale

A scale that lists a number of traits and a range of performance for each. The employee is then rated by identifying the score that best describes his or her level of performance for each trait.

The **graphic rating scale** is the simplest and most popular technique for appraising performance. Figure 9-2 shows a typical rating scale. It lists traits (such as quality and reliability) and a range of performance values (from unsatisfactory to outstanding) for each trait. The supervisor rates each subordinate by circling or checking the score that best describes his or her performance for each trait. The assigned values for the traits are then totaled.

Instead of appraising generic traits or factors (such as quality and quantity), many firms specify the duties to be appraised. For example, review Figure 9-3.⁵ It shows an appraisal form for the position of administrative secretary. In this case the job's five main sets of duties have been taken from the job description and prioritized. Importance ratings are thus indicated as percentages at the top of each of the five categories (key boarding, reception, and so on). There is also space on the form for comments and for evaluation of general performance attributes like reporting for work on time and observing work rules.

Performance Appraisal

Employee Name _____ Title _____

Department _____ Employee Payroll Number _____

Reason for Review: ☐ Annual ☐ Promotion ☐ Unsatisfactory Performance
☐ Merit ☐ End Probation Period ☐ Other _____

Date employee began present position ____/____/____

Date of last appraisal ____/____/____ Scheduled appraisal date ____/____/____

Instructions: Carefully evaluate employee's work performance in relation to current job requirements. Check rating box to indicate the employee's performance. Indicate N/A if not applicable. Assign points for each rating within the scale and indicate in the corresponding points box. Points will be totaled and averaged for an overall performance score.**RATING IDENTIFICATION****O—Outstanding**—Performance is exceptional in all areas and is recognizable as being far superior to others.**V—Very Good**—Results clearly exceed most position requirements. Performance is of high quality and is achieved on a consistent basis.**G—Good**—Competent and dependable level of performance. Meets performance standards of the job.**I—Improvement Needed**—Performance is deficient in certain areas. Improvement is necessary.**U—Unsatisfactory**—Results are generally unacceptable and require immediate improvement. No merit increase should be granted to individuals with this rating.**N—Not Rated**—Not applicable or too soon to rate.

GENERAL FACTORS	RATING SCALE	SUPPORTIVE DETAILS OR COMMENTS
1. Quality —The accuracy, thoroughness and acceptability of work performed.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
2. Productivity —The quantity and efficiency of work produced in a specified period of time.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
3. Job Knowledge —The practical/technical skills and information used on the job.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
4. Reliability —The extent to which an employee can be relied upon regarding task completion and follow up.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
5. Availability —The extent to which an employee is punctual, observes prescribed work break/meal periods and the overall attendance record.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
6. Independence —The extent of work performed with little or no supervision.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____

FIGURE 9-2 One Page of a Two-Page Graphic Rating Scale with Space for Comments

Forced Distribution Method

forced distribution method

Similar to grading on a curve; predetermined percentages of ratees are placed in various performance categories.

The **forced distribution method** is similar to grading on a curve. With this method, predetermined percentages of ratees are placed in performance categories. For example, you may decide to distribute employees as follows:

15% high performers

20% high-average performers

30% average performers

20% low-average performers

15% low performers

(although the proportions in each category need not be symmetrical). As at school, forced distribution means not everyone can get an "A", and that one's performance is always

rated relative to one's peers. One practical way to do this is to write each employee's name on a separate index card. Then, for each trait being appraised (quality of work, creativity, and so on), place the employee's card in one of the appropriate performance categories.

AN EXAMPLE Merck and Company, with about 31,000 employees, has used forced distribution for all exempt employees who receive merit pay increases based on their performance ratings.

Merck's reason for using forced distribution is informative.⁶ It was instituted when the firm found that 80% of its exempt employees were receiving ratings of four and above on the five-point scale. In other words, employees who had significant accomplishments were getting only slightly higher ratings than were those who did a good but not an extraordinary job. As a result, neither the performance appraisal system nor the merit pay plan had the effects on motivation that Merck wanted. The new program's purpose was to provide for greater differentiation among employees, so outstanding employees could be identified.

At Merck, all exempt employees now receive an annual performance appraisal in December. They meet with their supervisors to review their accomplishments for the year (relative to previously established goals) and receive one of five ratings: EX (exceptional), WD (with distinction), HS (high Merck standard), RI (room for improvement), and NA (not acceptable).

Predetermined percentages of a manager's subordinates must fall in each of the five categories. For example, 5% of the department's employees can receive EX ratings, 15% can receive WD ratings, and the vast majority—70%—should fall in the "high Merck standard" middle level of the range. In other words, this system forces the supervisor to identify no more than 20% of his or her exempt employees as above average when compared with their Merck peers.

The program is working well because Merck has worked hard to overcome forced distribution's inherent problems. For example, it's not realistic to force a manager with only four or five employees to distribute them into five classes. Therefore, Merck uses a roll-up system. Here several departments in the same division are reviewed together for the purpose of meeting the percentage distribution requirements of the rating system. (At each roll-up meeting, the supervisor can argue for two of the employees receiving an EX rating.) The big problem, however, was getting employees who viewed themselves as high achievers to understand that getting an HS (high Merck standard) doesn't equate to getting a "C" on a report card.

At Merck (or when rating college students, for that matter), there is always the question of whether the person's absolute or relative performance should be appraised. On balance however, Merck's relative performance approach has been successful, particularly in helping Merck identify high achievers and reward them.

Critical Incident Method

critical incident method

Keeping a record of uncommonly good or undesirable examples of an employee's work-related behavior and reviewing it with the employee at predetermined times.

With the **critical incident method**, the supervisor keeps a log of desirable or undesirable examples or incidents of each subordinate's work-related behavior. Then every 6 months or so, the supervisor and subordinate meet and discuss the latter's performance using the specific incidents as examples.

This method has several advantages. It provides you with specific hard examples of good and poor performance for explaining the appraisal. It ensures that you think about the subordinate's appraisal all during the year because the incidents must be accumulated; therefore, the rating does not just reflect the employee's most recent performance (we'll return to this important point below). Keeping a running list of critical incidents should also provide concrete examples of what specifically your subordinate can do to eliminate any performance deficiencies. However, this method is not too useful by itself for comparing employees or for making salary decisions.

You can adapt the critical incident method to the specific job expectations laid out for the subordinate at the beginning of the year. Thus, in the example presented in Table 9-1, one of the assistant plant manager's continuing duties was to supervise procurement and to minimize inventory costs. The critical incident shows that the assistant plant manager let inventory storage costs rise 15%; this provides a specific example of what performance must be improved in the future.

Narrative Forms

TABLE 9-1 Examples of Critical Incidents for an Assistant Plant Manager

CONTINUING DUTIES	TARGETS	CRITICAL INCIDENTS
Schedule production for plant	Full utilization of personnel and machinery in plant; orders delivered on time	Instituted new production scheduling system; decreased late orders by 10% last month; increased machine utilization in plant by 20% last month
Supervise procurement of raw materials and inventory control	Minimize inventory costs while keeping adequate supplies on hand	Let inventory storage costs rise 15% last month; overordered parts "A" and "B" by 20%; underordered part "C" by 30%
Supervise machinery maintenance	No shutdowns due to faulty machinery	Instituted new preventative maintenance system for plant; prevented a machine breakdown by discovering faulty part

behaviorally anchored rating scale (BARS)

An appraisal method that aims at combining the benefits of narrative critical incidents and quantified ratings by anchoring a quantified scale with specific narrative examples of good and poor performance.

Behaviorally Anchored Rating Scales

A behaviorally anchored rating scale (BARS) combines the benefits of narratives, critical incidents, and quantified ratings (such as graphic rating scales) by anchoring a quantified scale with specific behavioral examples of good or poor performance, as in Figure 9-7. Its proponents claim that it provides better, more equitable appraisals than do the other tools we discussed.⁸

Developing a BARS typically requires five steps:⁹

1. Generate critical incidents. Review

SALESMANSHIP SKILLS

Skillfully persuading prospects to join the navy; using navy benefits and opportunities effectively to sell the navy; closing skills; adapting selling techniques appropriately to different prospects; effectively overcoming objections to joining the navy.

- 9 — A prospect stated he wanted the nuclear power program or he would not sign up. When he did not qualify, the recruiter did not give up; instead, he talked the young man into electronics by emphasizing the technical training he would receive.
- 8 — The recruiter treats objections to joining the navy seriously; he works hard to counter the objections with relevant, positive arguments for a navy career.
- 7 — When talking to a high school senior, the recruiter mentions names of other seniors from that school who have already enlisted.
- 6 — When an applicant qualifies for only one program, the recruiter tries to convey to the applicant that it is a desirable program.
- 5 — When a prospect is deciding on which service to enlist in, the recruiter tries to sell the navy by describing navy life at sea and adventures in port.
- 4 — During an interview, the recruiter said to the applicant, "I'll try to get you the school you want, but frankly it probably won't be open for another three months, so why don't you take your second choice and leave now."
- 3 — The recruiter insisted on showing more brochures and films even though the applicant told him he wanted to sign up right now.
- 2 — When a prospect states an objection to being in the navy, the recruiter ends the conversation because he thinks the prospect must not be interested.
- 1 —

then cluster the incidents into a

APPRAISING PERFORMANCE: PROBLEMS AND SOLUTIONS

Few of the things a manager does are fraught with more peril than appraising subordinates' performance. Employees in general tend to be overly optimistic about what their ratings will be and also know that their raises, career progress, and peace of mind may well hinge on how they are rated. This alone should make it somewhat difficult to rate performance; even more problematical, however, are the numerous technical problems that can cast serious doubt on just how fair the whole process is. In this section we therefore turn to some of the main appraisal problems and how to solve them, as well as to several other pertinent appraisal issues.

Dealing with Rating Scale Appraisal Problems

Most employers still depend on graphic-type rating scales to appraise performance, but these scales are especially subject to several appraisal problems. Specifically, five main problems can undermine appraisal tools such as graphic rating scales: unclear standards, halo effect, central tendency, leniency or strictness, and bias.

unclear performance standards

An appraisal scale that is too open to interpretation; instead include descriptive phrases that define each trait and what is meant by standards like "good" or "unsatisfactory."

UNCLEAR STANDARDS The problem of **unclear standards** is illustrated in Table 9-2. Although the graphic rating scale seems objective, it would probably result in unfair appraisals because the traits and degrees of merit are open to interpretation. For example, different supervisors would probably define "good" performance, "fair" performance, and so on differently. The same is true of traits such as "quality of work" or "creativity."

There are several ways to rectify this problem. The best way is to develop and include descriptive phrases that define each trait, as in Figure 9-2. There the form specified

TABLE 9-2 A Graphic Rating Scale with Unclear Standards

	EXCELLENT	GOOD	FAIR	POOR
Quality of work				
Quantity of work				
Creativity				
Integrity				

Note: For example, what exactly is meant by "good," "quantity of work," and so forth?

what was meant by "outstanding," "superior," and "good" quality of work. This specificity results in appraisals that are more consistent and more easily explained.

halo effect

In performance appraisal, the problem that occurs when a supervisor's rating of a subordinate on one trait biases the rating of that person on other traits.

HALO EFFECT Halo effect has been defined as "the influence of a rater's general impression on ratings of specific ratee qualities."¹⁸ In practice it might mean, for instance, that your rating of a subordinate on one major trait (such as "gets along with others") biases how you rate that person on other traits (such as "quantity of work"). This problem often occurs with employees who are especially friendly (or unfriendly) toward the supervisor. For example, an unfriendly employee will often be rated unsatisfactory for all traits rather than just for the trait "gets along well with others." Being aware of this problem is a major step toward avoiding it. Supervisory training can also alleviate the problem.¹⁹

central tendency

A tendency to rate all employees the same way, such as rating them all average.

CENTRAL TENDENCY Many supervisors have a **central tendency** when filling in rating scales. For example, if the rating scale ranges from 1 to 7, they tend to avoid the highs (6 and 7) and lows (1 and 2) and rate most of their people between 3 and 5. If you use a graphic rating scale, this central tendency could mean that all employees are simply rated "average." Such a restriction can distort the evaluations, making them less useful for promotion, salary, or counseling purposes. Ranking employees instead of using a graphic rating scale can avoid this central tendency problem, because all employees must be ranked and thus can't all be rated average.

strictness/leniency

The problem that occurs when a supervisor has a tendency to rate all subordinates either high or low.

LENIENCY OR STRICTNESS Some supervisors tend to rate all their subordinates consistently high (or low), just as some instructors are notoriously high graders and others are not. This **strictness/leniency** problem is especially serious with graphic rating scales, because supervisors aren't necessarily required to avoid giving all their employees high (or low) ratings. On the other hand, if you must rank subordinates, you are forced to distinguish between high and low performers. Thus, strictness/leniency is not a problem with the ranking or forced distribution approaches.

In fact, if a graphic rating scale must be used, it may be a good idea to impose a distribution of performance—that, say, about 10% of your people should be rated "excellent," 20% "good," and so forth. In other words, try to get a spread (unless, of course, you are sure all your people really do fall into just one or two categories).

Leniency may result from the purpose of the appraisal, as well as from the inherent leniency of the person doing the appraising. Personnel psychologists have long hypothesized that performance appraisal ratings obtained for administrative purposes (such as pay raises or promotions) would be more lenient than ratings aimed for feedback or employee development purposes.²⁰ Two researchers recently investigated this hypothesis, reviewing 22 studies of performance appraisal leniency. They concluded that: "performance appraisal ratings obtained for administrative purposes were nearly one-third of a standard deviation larger than those obtained for research or employee development purposes."²¹

Their results suggest that supervisors tend to be more lenient when appraising employees for personnel actions that have concrete outcomes for the employee—things like pay raises or promotions. On the other hand, they tend to be less lenient when the purpose of the appraisal is counseling the employee, providing feedback, correcting performance deficiencies, and other such employee development purposes, a fact the supervisor should keep in mind.

BIAS Individual differences among ratees in terms of characteristics like age, race, and sex can affect their ratings, often quite apart from each ratee's actual performance.²² In one study, for instance, researchers found a systematic tendency to evaluate older ratees (over 60 years of age) lower on "performance capacity" and "potential for development" than younger employees.²³

A study of registered nurses provides an interesting picture of how age can distort evaluations. For nurses 30 to 39 years old, they and their supervisors each rated the nurses' performance virtually the same. In the 21 to 29 category, supervisors actually rated nurses higher than the nurses rated themselves. However, for the 40 to 61 nurse age category, the supervisors rated nurses' performance lower than the nurses rated their own performance. One interpretation is that supervisors are tougher in appraising older subordinates. Specifically, they don't give them as much credit for their success, while attributing any low performance to their lack of ability.²⁴

The rater's and ratee's race can also affect the rating a person receives. One recent study was based on performance ratings received from over 20,000 bosses, 50,000 peers, and 40,000 subordinates.²⁵ The findings illustrate the interplay between the race of the rater and ratee. Researchers concluded that black raters rated black ratees higher than white ratees; that white bosses (but not white subordinates) assigned more favorable ratings to white ratees than to black ratees; and that black raters assigned higher ratings than did whites, regardless of the race of the ratees.²⁶ Such results sound a cautionary signal for employers; since over 90% of appraisal programs ask the immediate boss to take sole responsibility for appraisals, and since most bosses are white, black managers are likely to find their career progress is largely in white managers' hands. Black managers are also rated by white bosses.

THE APPRAISAL INTERVIEW

Types of Interviews

An appraisal typically culminates in an **appraisal interview**. This is an interview in which the supervisor and subordinate review the appraisal and make plans to remedy deficiencies and reinforce strengths. Interviews like these are potentially uncomfortable, since few

appraisal interview

An interview in which the supervisor and subordinate review the appraisal and make plans to remedy deficiencies and reinforce strengths.

people like to receive—or give—negative feedback.⁷³ Adequate preparation and effective implementation are therefore essential.

There are three basic types of appraisal interviews, each with its own objectives:

<i>Appraisal Interview Type</i>	<i>Appraisal Interview Objective</i>
(1) Performance is satisfactory— Employee is promotable	(1) Make development plans
(2) Satisfactory—Not promotable	(2) Maintain performance
(3) Unsatisfactory—Correctable	(3) Plan correction

If the employee is unsatisfactory and the situation uncorrectable, there is usually no need for any appraisal interview. Either the person's poor performance is tolerated for now, or he or she is dismissed.

SATISFACTORY—PROMOTABLE Here the person's performance is satisfactory and there is a promotion ahead. This is the easiest of the three appraisal interviews. Your objective is to discuss the person's career plans and to develop a specific action plan for the educational and professional development the person needs to move to the next job.

SATISFACTORY—NOT PROMOTABLE This interview is for employees whose performance is satisfactory but for whom promotion is not possible. Perhaps there is no more room in the company. Some employees are also happy where they are and don't want a promotion.⁷⁴ Your objective here is not to improve or develop the person but to maintain satisfactory performance.

This is not easy. The best option is usually to find incentives that are important to the person and enough to maintain satisfactory performance. These might include extra time off, a small bonus, additional authority to handle a slightly enlarged job, and reinforcement, perhaps in the form of an occasional "Well done!"

UNSATISFACTORY—CORRECTABLE When the person's performance is unsatisfactory but correctable, the interview objective is to lay out an action plan (as explained below) for correcting the unsatisfactory performance.

How to Prepare for the Appraisal Interview

There are three things to do in preparation for the interview.⁷⁵ First, assemble the data. Study the person's job description, compare the employee's performance to the standards, and review the files of the employee's previous appraisals. Next prepare the employee. Give your employees at least a week's notice to review their work, read over their job descriptions, analyze problems, and gather their questions and comments. Finally, choose the time and place. Find a mutually agreeable time for the interview and allow enough time for the entire interview. Interviews with lower-level personnel like clerical workers and maintenance staff should take no more than an hour. Appraising management employees often takes two or three hours. Be sure the interview is done in a private place where you won't be interrupted by phone calls or visitors.

How to Conduct the Interview

There are four things to keep in mind here:⁷⁶

1. *Be direct and specific.* Talk in terms of objective work data. Use examples such as absences, tardiness, quality records, inspection reports, scrap or waste, orders processed, productivity records, material used or consumed, timeliness of tasks

or projects, control or reduction of costs, numbers of errors, costs compared to budgets, customers' comments, product returns, order processing time, inventory level and accuracy, accident reports, and so on.

2. *Don't get personal.* Don't say, "You're too slow in producing those reports." Instead try to compare the person's performance to a standard ("These reports should normally be done within 10 days"). Similarly, don't compare the person's performance to that of other people ("He's quicker than you are").
3. *Encourage the person to talk.* Stop and listen to what the person is saying; ask open-ended questions such as "What do you think we can do to improve the situation?" Use a command such as "Go on," or "Tell me more." Restate the person's last point as a question, such as "You don't think you can get the job done?"
4. *Don't tiptoe around.* Don't get personal, but do make sure the person leaves knowing specifically what he or she is doing right and doing wrong. Give specific examples; make sure the person understands; and get agreement before he or she leaves on how things will be improved, and by when. Develop an action plan showing steps and expected results, as in Figure 9-9.

HOW TO HANDLE A DEFENSIVE SUBORDINATE Defenses are an important and familiar aspect of our lives. When a person is accused of poor performance, the first reaction will sometimes be denial. By denying the fault, the person avoids having to question his or her own competence. Others react to criticism with anger and aggression. This helps them let off steam and postpones confronting the immediate problem until they are able to cope with it. Still others react to criticism by retreating into a shell.

In any event, understanding and dealing with defensiveness is an important appraisal skill. In his book *Effective Psychology for Managers*, psychologist Mortimer Feinberg suggests the following:

1. *Recognize that defensive behavior is normal.*
2. *Never attack a person's defenses.* Don't try to "explain someone to themselves" by saying things like, "You know the real reason you're using that excuse is that you

FIGURE 9-9
*Example of an
Action Plan*

ACTION PLAN		
		Date: May 18, 1999
For: John, Assistant Plant Manager		
Problem: Parts inventory too high		
Objective: Reduce plant parts inventory by 10% in June		
<i>Action Steps</i>	<i>When</i>	<i>Expected Results</i>
Determine average monthly parts inventory	6/2	Established a base from which to measure progress
Review ordering quantities and parts usage	6/15	Identify overstock items
Ship excess parts to regional warehouse and scrap obsolete parts	6/20	Clear stock space
Set new ordering quantities for all parts	6/25	Avoid future overstocking
Check records to measure where we are now	7/1	See how close we are to objective

can't bear to be blamed for anything." Instead try to concentrate on the act itself ("sales are down") rather than on the person ("you're not selling enough").

3. *Postpone action.* Sometimes it is best to do nothing at all. People frequently react to sudden threats by instinctively hiding behind their "masks." But, given sufficient time, a more rational reaction takes over.
4. *Recognize your own limitations.* Don't expect to be able to solve every problem that comes up, especially the human ones. More important, remember that a supervisor should not try to be a psychologist. Offering your people understanding is one thing; trying to deal with deep psychological problems is another matter entirely.

HOW TO CRITICIZE A SUBORDINATE When criticism is required, it should be done in a manner that lets the person maintain his or her dignity and sense of worth. Specifically, criticism should be done in private and should be done constructively. Provide examples of critical incidents and specific suggestions of what could be done and why. Avoid once-a-year "critical broadsides" by giving feedback on a daily basis, so that at the formal review there are no surprises. Never say the person is "always" wrong (since no one is ever "always" wrong or right). Finally, criticism should be objective and free of any personal biases on your part.

HOW TO ENSURE THAT THE APPRAISAL INTERVIEW LEADS TO IMPROVED PERFORMANCE You should clear up job-related problems and set improvement goals and a schedule for achieving them. In one study the researchers found that whether or not subordinates expressed satisfaction with their appraisal interview depended mostly on three factors: (1) not feeling threatened during the interview; (2) having an opportunity to present their ideas and feelings and to influence the course of the interview; and (3) having a helpful and constructive supervisor conduct the interview.⁷⁷

However, you don't just want subordinates to be satisfied with their appraisal interviews. Your main aim is to get them to improve their subsequent performance. Here researchers found that *clearing up job-related problems* with the appraisee and *setting measurable performance targets and a schedule for achieving them*—an action plan—were the actions that consistently led to improved performance.

HOW TO HANDLE A FORMAL WRITTEN WARNING There will be times when an employee's performance is so poor that a formal written warning is required. Such written warnings serve two purposes: (1) They may serve to shake your employee out of his or her bad habits, and (2) they can help you defend your rating of the employee both to your own boss and (if needed) to the courts. Thus, written warnings should identify the standards under which the employee is judged, make it clear that the employee was aware of the standard, specify any violation of the standard, and show the employee had an opportunity to correct his or her behavior.

Performance Factor 1: Teaching Effectiveness

Rating	Example
5 – Excellent	Explains concepts clearly using real-life examples; classes are engaging-- think of example (like teacher uses models to teach chemistry/ teacher uses playground to teach theories)**
4 – Very Good	Teaching is clear and syllabus is covered on time-- think of example
3 – Good	Teaching is satisfactory but interaction is limited
2 – Fair	Explanations lack clarity and consistency
1 – Poor	Teaching is ineffective and difficult to understand

Performance Factor 2: Subject Knowledge

Rating	Example
5 – Excellent	Demonstrates thorough and updated knowledge of the subject
4 – Very Good	Has strong subject knowledge with minor gaps
3 – Good	Possesses adequate basic knowledge
2 – Fair	Shows limited understanding of subject
1 – Poor	Lacks essential subject knowledge

Performance Factor 3: Communication Skills

Rating	Example
5 – Excellent	Communicates ideas clearly, confidently, and effectively
4 – Very Good	Communication is clear most of the time
3 – Good	Communication is understandable but inconsistent
2 – Fair	Communication is often unclear
1 – Poor	Fails to communicate ideas effectively

Performance Factor 4: Responsibility & Reliability

Rating	Example
5 – Excellent	Always punctual and completes tasks without reminders
4 – Very Good	Usually reliable with rare delays
3 – Good	Completes tasks but needs occasional reminders
2 – Fair	Frequently delays tasks or commitments
1 – Poor	Irresponsible and unreliable

Performance Factor 5: Interaction & Leadership

Rating	Example
5 – Excellent	Actively motivates, guides, and supports others
4 – Very Good	Demonstrates good leadership qualities
3 – Good	Takes initiative occasionally
2 – Fair	Rarely shows leadership or involvement
1 – Poor	Shows no leadership or interaction

**For each of the above think of examples

**This means for 5 factors and the scales you need to think of an example that's not specific to any teacher

Job Analysis Template

1. Job Identification

Job Title:

Department:

Location:

Reports To:

Prepared By:

Date:

2. Job Purpose

Briefly describe why the job exists and how it contributes to the organization.

3. Key Duties and Responsibilities(Frequencies can be described as Daily,Weekly, Monthly, Periodic, As required, Project-based)

Duty/ Responsibility	Descript ion	Freque ncy	% of Time
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4. Knowledge, Skills, and Abilities (KSAs)

Knowledge

Knowledge refers to the theoretical or practical understanding of information required to perform a job.

Example: Knowledge of engineering principles, codes, standards, or software concepts.

Skills

Skills are the learned proficiencies or technical capabilities that enable a person to perform tasks effectively.

Example: Programming, operating machinery, drafting designs, data analysis.

Abilities

Abilities are the natural or developed capacities to perform tasks or functions.

Example: Problem-solving ability, analytical thinking, decision-making ability.

5. Education and Experience Requirements

Minimum Education:

Preferred Education:

Required Experience:

Preferred Experience:

6. Tools, Equipment, and Technology

Lab equipments

Scale up equipments

Computers and standard office equipment

Job-specific software, systems, or tools

7. Work Environment and Conditions

Physical demands (e.g., sitting, standing, lifting)

Work setting (remote, on-site, hybrid)

Schedule and travel requirements

8. Competencies

Competencies Required for Successful Performance:

A. Behavioral / Core Competencies

Communication: Clearly conveys information verbally and in writing; adapts style to the audience.

Teamwork & Collaboration: Works effectively with others to achieve shared goals.

Accountability: Takes responsibility for actions, decisions, and outcomes.

Adaptability: Responds positively to change and shifting priorities.

Attention to Detail: Completes work accurately with minimal errors.

B. Cognitive / Analytical Competencies

Problem Solving: Identifies issues, evaluates options, and implements effective solutions.

Critical Thinking: Analyzes information objectively and makes sound decisions.

Time Management: Prioritizes tasks effectively to meet deadlines.

C. Technical / Functional Competencies

Technology Proficiency: Uses relevant systems, software, and tools effectively.

Process Improvement: Identifies inefficiencies and recommends improvements.

Regulatory Compliance: Applies applicable laws, policies, and procedures accurately.

D. Leadership Competencies (*for supervisory or managerial roles*)

Decision Making: Makes timely, well-informed decisions aligned with organizational goals.

Coaching & Development: Provides feedback, guidance, and support to develop employees.

Performance Management: Sets clear expectations and holds others accountable for results.

Conflict Resolution: Addresses disagreements constructively and professionally.

Change Management: Leads and supports others through organizational change.

Strategic Thinking: Aligns team actions with broader organizational objectives.

(Remove or mark this section “Not Applicable” for non-leadership roles.)

9. Performance Standards

Quality and accuracy of work(how do you ensure quality and accuracy of your work)

Timeliness and productivity(How are deadlines and productivity measured in your role?)

Achievement of role and team objectives(How do you know you are meeting your role or team objectives?)

10. Relationships and Interactions

Internal Contacts:

External Contacts:



■ External Environment

The external environment refers to the factors existing outside the business firm. The external factors are beyond the control of a company, hence its success depends to the adaptability of the environment.

Again external environment is divided in two parts:

- 1)Micro Environment
- 2)Macro Environment



■ Micro Environment

The factors which are close to the company and affects its ability to work constitutes micro environment. It is known as the operating environment of business.

When competing form in the industry have the same micro elements, the success of the firm depends on their relative effectiveness in dealing with these elements.

■ **Suppliers:**

Suppliers are those who supply the inputs like raw material and components to the company. Uncertainties regarding the supply constraints the company to maintain high inventories causing cost increase.

■ **Customers:**

Success of any business depends upon identifying customers, their needs, likes etc., and enhancing the level of customer satisfaction. The major task of a business is to create and sustain customers.

- **Competitors:**

Competitors means other business units which are marketing or producing similar products or a very close substitute of our product. Business has to adjust its various activities according to the action and reactions of competitors.

- **Marketing Intermediaries:**

These are the firms that aid the company in promoting, selling and distributing its goods to final buyers. They are the vital links between the company and the final consumers.

Public:

A public is any group that has an actual or potential interest in or impact on an organization's ability to achieve its interest. Some companies are seriously affected by such public.

E.g. Media



Macro Environment

Macro environment means general environment of business. Macro forces are uncontrollable in comparison to the micro forces of environment. The growth and survival of business depends upon its adaptability to macro environmental factors.

The important macro environment are:

- 1) Economic Environment
- 2) Non Economic Environment

■ **Economic Environment:**

To know the economic environment of a country or a business one has to understand the economic policies of the nation. These policies put direct impact on the working and success of the business. Economic conditions, economic policies (Industrial policies, monetary and fiscal policy etc) and the economic system are the important factors that constitute economic environment of the business.



■ **Non Economic Environment**

■ **Socio cultural Environment:**

The socio-cultural environmental factors consist of human relationship and the development. Some of the important factors in the social environment are the buying and consumption habit of people, their languages, beliefs and values, custom and traditions, etc that effects the business.

■ **Legal Environment:**

Every country follows its own system of law. The companies operating in the global market have to take into account the provisions with respect to the legal environment prevalent in the countries which they do business. These law and regulations affect the day-to-day operations of business.

■ **International Environment:**

The international environment is particularly important for industries directly depending on imports or exports.

E.g. Import export policies of various countries.

- **Political Environment:**

The political environment consists of factors related to the management of public affairs that have a considerable impact on the business of an organization. It impacts the legislations and government rules and regulations under which business organizations operates in a country.

- **Technological Environment:**

Technological environment comprises both machines (hard technology) and scientific thinking (soft technology) used to solve problems and promote progress. It also represents the degree of advancement of goods and services that are prevalent in a country or a region.

- **Natural Environment:**

Geographical factors such as natural resources endowments, weather and climatic conditions, location aspects in the global context, port facilities etc., are all relevant to business.



■ Significance of Business Environment

■ **First Mover Advantage:**

Awareness of environment helps an enterprise to take advantage of early opportunities instead of losing them to competitors.

E.g. Maruti Udyog became leader in small car

■ **Early Warning Signal:**

Environmental awareness serves as an early warning signal. It makes a firm aware of the future threats or crisis so that the firm can take timely action to minimize the adverse effects.

■ **Customer Focus:**

Environmental understanding makes the management sensitive to the changing needs and expectations of the consumers.

E.g. Apps in mobile

- **Strategy Formulation:**

Environmental monitoring provides relevant information about the business opportunities on the basis of which firms make their strategies.

e.g. ITC in travel and tourism sector

- **Public Image:**

A business firm can improve its image by showing that it is sensitive to its environment and responsive as per the need of customers.

- **Continuous Learning:**

Environmental analysis serves as broad and ongoing education for business executives so that they can react in an appropriate manner to the changing scenario and thereby increase the success of their organization.

ORGANIZATION STRUCTURES

There are six basic elements of an organizational structure:

1. Specialisation
2. Departmentalisation
3. Chain of Command
4. Span of control
5. Centralisation and Decentralisation
6. Formalisation

Work specialization gives employees specific duties and roles they are expected to perform within the company, factoring in their qualifications and skills(Recall the KASH -Job Fit). Having descriptions of duties for staff members helps the organisation to fully meet the workforce needs and to ensure there are no unnecessary duplications within roles.

Departmentalization(division of tasks) refers to how the organisation breaks down the functions and teams needed to run the company and carry out the essential tasks. Departments are usually made up of staff members who perform similar tasks in the same work area, but could also be grouped by project, location, or however the organisation sees fit to ensure increased productivity.

The main purpose of an organisational chart is to illustrate **chain of command**, and ensures that each employee has a clear directive of who they should be reporting to within the company(Hierarchy of authority). The manager responsible for a particular employee will assign them tasks, provide deadlines and motivation, and communicate important messages. If their staff member has an issue, the manager can take this higher up the chain of command for more support if necessary and to provide a resolution(the movement of information that I discussed in class). A clear chain of command ensures messages are being communicated effectively between the relevant staff members.

The span of control is how many employees each manager is given to oversee, and limits to their capacity is set by the organisation. It ensures the efficiency of a company isn't compromised, as a manager will become less effective at their job if they have too many staff members to supervise and the amount of time they spend focussing on each person will significantly reduce. Managers who are positioned higher up in the chain of command will typically oversee less staff members, as they will be directly responsible for middle managers and supervisors.

Centralization within a business means that middle management does not have a significant input to company decisions, and these are left to top level management only. This is typical of a larger organisation. Decentralization allows all level of management to share their input on the goals and visions of the wider company, which will then help to improve their individual teams.

Organizational structures implement a degree of **formalization**, and determines the procedures and rules of a company, as determined by management. A smaller organisation might have less formal standards because staff undertake multiples roles and duties, but a larger organization would need to set more defined elements to enable clarity for staff.

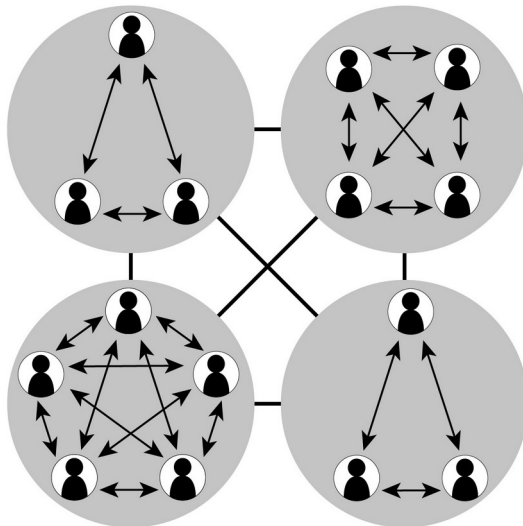
The type of organization structure, whether formal or informal, is based on the needs and usually the size of the company. A formal organisation has clearly defined roles and responsibilities for staff, and accountability is fixed within the structure. An informal structure has less set guidelines and restrictions, and is reliant upon the interactions that staff members have with each other. A formal structure has been deliberately created by top line management, but an informal structure would be spontaneous created by staff. This could lead to chaos and confusion if the team grows in numbers, as there may not be a clearly defined hierarchy or procedures to

follow to ensure the company keeps working effectively. An informal structure does however allow for flexibility within the organisation, as there aren't rules in place which could slow down operations.

Some of those structures are very strict and hierarchal, like the bureaucratic model, and some of the structures, like boundaryless, are pretty loose and free-wheeling. They all have their advantages and disadvantages.

When managers combine the basic components and elements of an organizational structure together, the result has certain characteristics that are best understood by looking at it through the lens of organic and mechanistic organizations.

Organic Organizations



Mechanistic	Organic
Individual specialization: Employees work separately and specialize in one task	Joint Specialization: Employees work together and coordinate tasks
Simple integrating mechanisms: Hierarchy of authority well-defined	Complex integrating mechanisms: task forces and teams are primary integrating mechanisms
Centralization: Decision-making kept as high as possible. Most communication is vertical.	Decentralization: Authority to control tasks is delegated. Most communication lateral
Standardization: Extensive use made of rules & Standard Operating Procedures	Mutual Adjustment: Face-to-face contact for coordination. Work process tends to be unpredictable
Much written communication	Much verbal communication
Informal status in org based on size of empire	Informal status based on perceived brilliance
Organization is a network of positions, corresponding to tasks. Typically each person corresponds to one task	Organization is network of persons or teams. People work in different capacities simultaneously and over time

Organic organizations have a low degree of formality, specialization and standardization. Their decision making is decentralized and their activities are well-integrated. The

organic model is usually flat, and it usually uses cross-hierarchical and cross-functional teams and possesses a comprehensive information network that features lateral and upward communication in addition to downward communication.

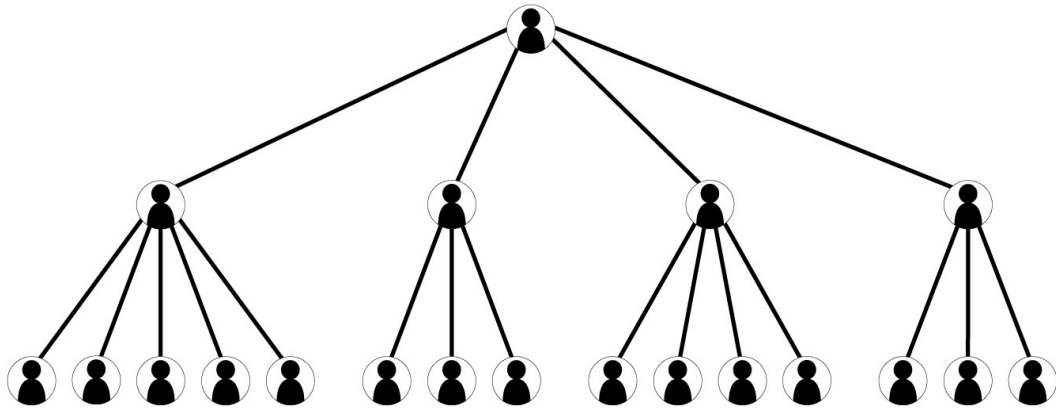
Organic organizations look a lot like boundaryless organizations. They allow for employees to cultivate more ideas and be more creative because the business is not as rigidly structured. Organic structures are used in dynamic, unstable environments where the business needs to quickly adapt to change, as the structure gives the organization the flexibility to deal with fast-paced environmental change and many different elements.

A good example of an organization that uses an organic structure might be a consulting firm. A consulting firm responds to customer issues as they come up, and those issues change with the business environment. Consulting firms want to respond to change quickly, so by choosing an organic structure they're able to be nimble and address their customers' needs.

Mechanistic Organizations

Mechanistic organizations have centralized decision making and formal, standardized control systems. Essentially, they are bureaucracies.

Mechanistic organizations work well in stable, simple environments. Managers integrate the activities of clearly defined departments through formal channels and in formal meetings. Often, they feature many hierarchical layers and a focus on reporting relationships.



GENERAL MOTORS

General Motors is a good example of an organization using the mechanistic model. Why do they use that? For one, they're very large, and when that many people and functions are involved, order is needed. But they're also in a stable, if not somewhat simple, environment. The car market fluctuates with the economy, yes, but the company builds cars and trucks. Across all their divisions, that function is basically the same.

DMV

Another example of a mechanistic model is the Department of Motor Vehicles. When you get your new driver's license, you go from one department to another, taking a written test, taking an eye exam, taking an actual driving test, filling out the paperwork, and then finally, getting your driver's license. The structure for this is very mechanistic—every person looking to get a driver's license has to be treated exactly the same. It's simple and stable.

Here's a table comparing the basic characteristics of both models:

Organic	Mechanistic
General tasks	Specialized tasks
Loosely defined departments and hierarchy	Well-defined departments with clear hierarchy
Decentralized decision making by many individuals	Centralized decision making by a few people
Integration achieved by managers and employees interacting and exchanging information as needed	Integration achieved by formal manager meetings
Flexibility and capability of rapid change	Clear and efficient reporting relationships

Most companies find themselves falling somewhere in between the two extremes of organic and mechanistic. Each organization designs its structure to enable its mission, goals, and strategy. If the structure fits with other contextual elements, it has a better chance of being effective in supporting the organization.

SELECTION

- S

- T

- A

- R

1. Tell me about a time you had to lead a project under pressure.

Use STAR.

S: Describe the high-pressure project and context.

T: Define your leadership role and specific objectives.

A: Explain the actions you took to manage the team and meet deadlines.

R: Highlight the successful project completion and impact.

3. Describe a situation where you demonstrated strong communication skills.

Use STAR.

S: Provide a context where effective communication was crucial.

T: Your objective to convey information clearly.

A: Explain the methods you used (verbal, written, presentation) and how you ensured understanding.

R: Show the positive outcome, alignment, and clarity achieved.

6. Tell me about a time you exceeded expectations on a project.

Structure with STAR.

S: Outline the project and the initial expectations.

T: Your personal goal to go above and beyond.

A: Detail the extra effort, initiative, and innovative steps you took.

R: Emphasize the extraordinary results, positive feedback, and impact on the organization.

Performance management

Graphic Rating Scale with Space for Comments

Performance Appraisal

Employee Name _____ Title _____

Department _____ Employee Payroll Number _____

Reason for Review: ☐ Annual ☐ Promotion ☐ Unsatisfactory Performance

☐ Merit ☐ End Probation Period ☐ Other _____

Date employee began present position ____/____/____

Date of last appraisal ____/____/____ Scheduled appraisal date ____/____/____

Instructions: Carefully evaluate employee's work performance in relation to current job requirements. Check rating box to indicate the employee's performance. Indicate N/A if not applicable. Assign points for each rating within the scale and indicate in the corresponding points box. Points will be totaled and averaged for an overall performance score.

RATING IDENTIFICATION

O—Outstanding—Performance is exceptional in all areas and is recognizable as being far superior to others.

V—Very Good—Results clearly exceed most position requirements. Performance is of high quality and is achieved on a consistent basis.

G—Good—Competent and dependable level of performance. Meets performance standards of the job.

I—Improvement Needed—Performance is deficient in certain areas. Improvement is necessary.

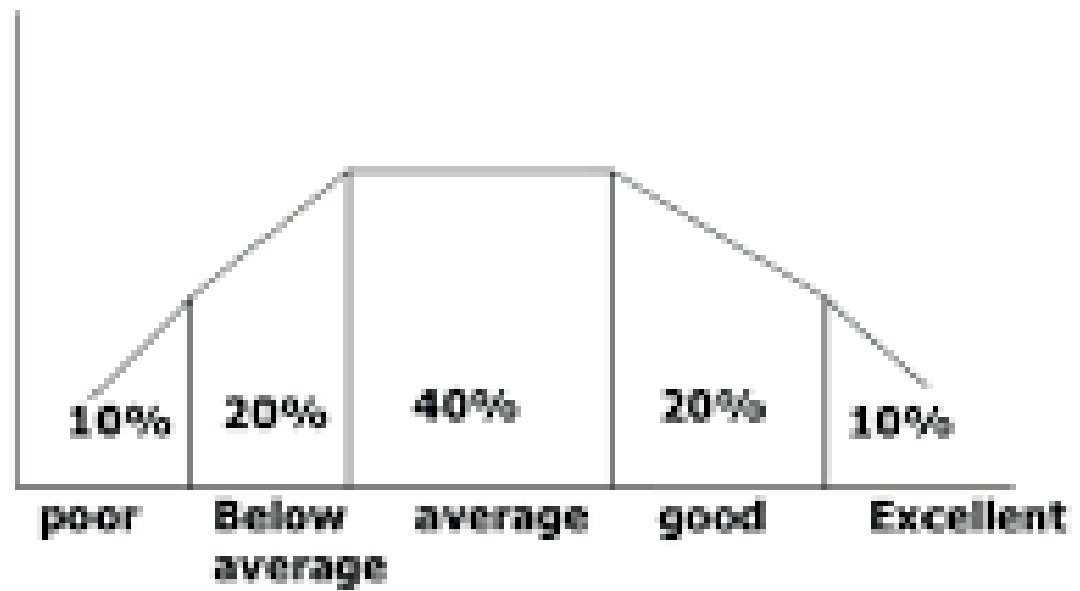
U—Unsatisfactory—Results are generally unacceptable and require immediate improvement. No merit increase should be granted to individuals with this rating.

N—Not Rated—Not applicable or too soon to rate.

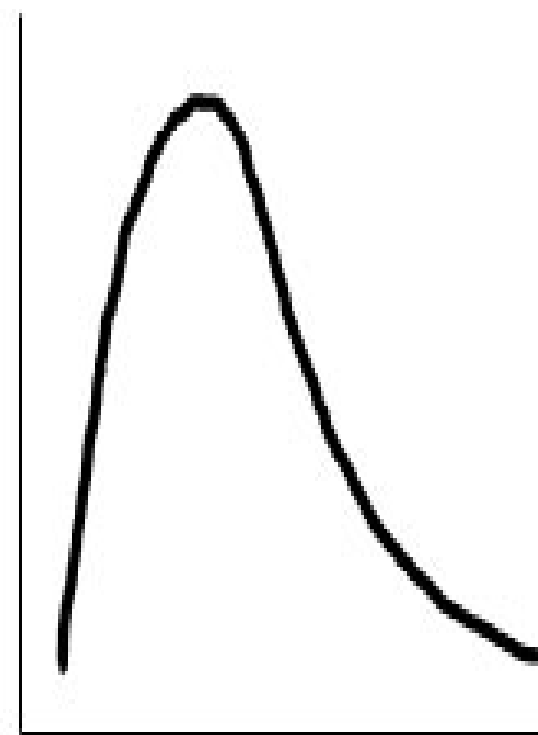
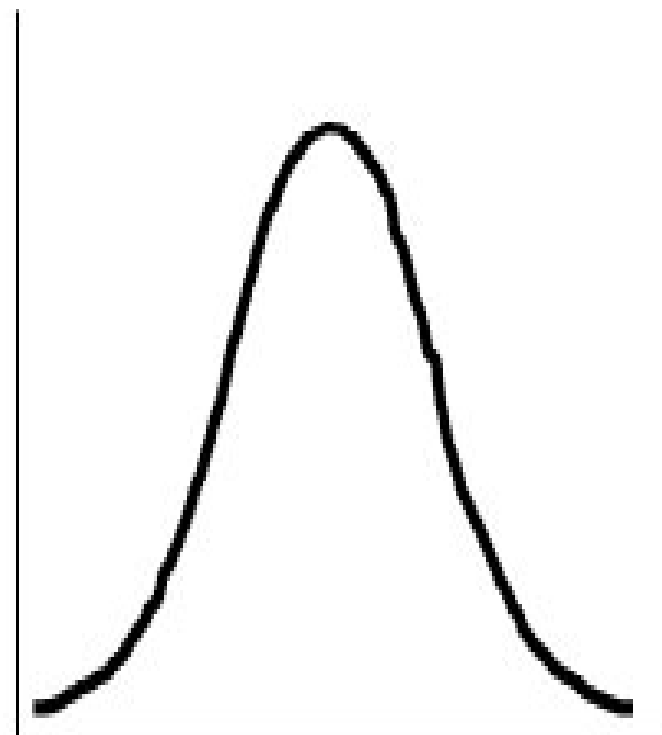
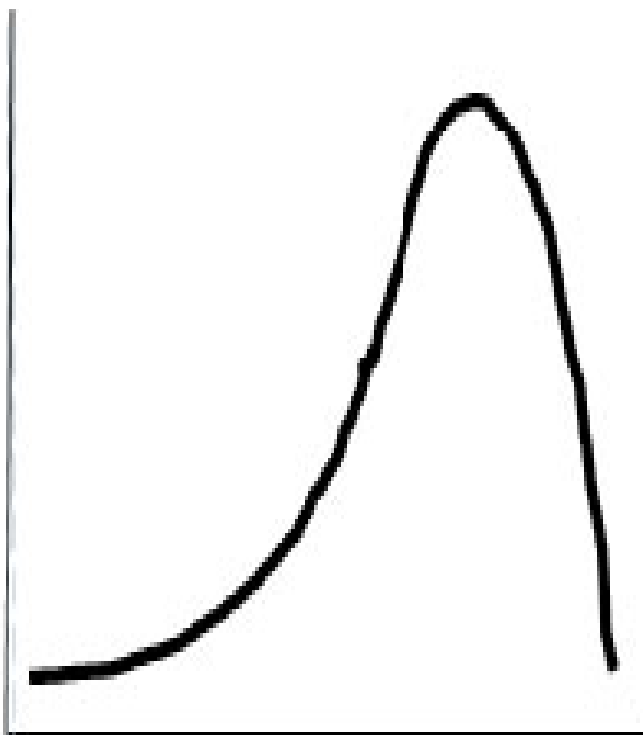
GENERAL FACTORS	RATING SCALE	SUPPORTIVE DETAILS OR COMMENTS
1. Quality —The accuracy, thoroughness, and acceptability of work performed.	☐ 100–90 ☐ 90–80 ☐ 80–70 ☐ 70–60 ☐ below 60	Points _____ _____ _____ _____
2. Productivity —The quantity and efficiency of work produced in a specified period of time.	☐ 100–90 ☐ 90–80 ☐ 80–70 ☐ 70–60 ☐ below 60	Points _____ _____ _____ _____
3. Job Knowledge —The practical/technical skills and information used on the job.	☐ 100–90 ☐ 90–80 ☐ 80–70 ☐ 70–60 ☐ below 60	Points _____ _____ _____ _____
4. Reliability —The extent to which an employee can be relied upon regarding task completion and follow-up.	☐ 100–90 ☐ 90–80 ☐ 80–70 ☐ 70–60 ☐ below 60	Points _____ _____ _____ _____

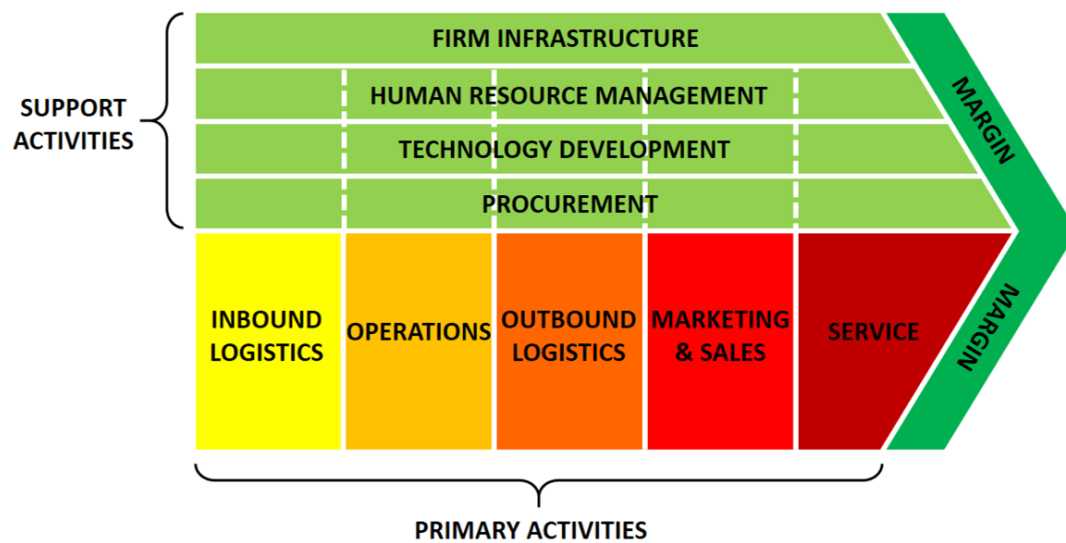
Figure 9–3

No.
of
employees



Force distribution curve





Porter's value chain

The idea of the value chain is based on the process view of organisations, the idea of seeing a manufacturing (or service) organisation as a system, made up of subsystems each with inputs, transformation processes and outputs.

Inputs, transformation processes, and outputs involve the acquisition and consumption of resources - money, labour, materials, equipment, buildings, land, administration and management. How value chain activities are carried out determines costs and affects profits.

Most organisations engage in hundreds, even thousands, of activities in the process of converting inputs to outputs. These activities can be classified generally as either primary or support activities that all businesses must undertake in some form.

According to Porter (1985), the primary activities are:

1. **Inbound Logistics** - involve relationships with suppliers and include all the activities required to receive, store, and disseminate inputs.

2. **Operations** - are all the activities required to transform inputs into outputs (products and services).
3. **Outbound Logistics** - include all the activities required to collect, store, and distribute the output.
4. **Marketing and Sales** - activities inform buyers about products and services, induce buyers to purchase them, and facilitate their purchase.
5. **Service** - includes all the activities required to keep the product or service working effectively for the buyer after it is sold and delivered.

Secondary activities are:

1. **Procurement** - is the acquisition of inputs, or resources, for the firm.
2. **Human Resource management** - consists of all activities involved in recruiting, hiring, training, developing, compensating and (if necessary) dismissing or laying off personnel.
3. **Technological Development** - pertains to the equipment, hardware, software, procedures and technical knowledge brought to bear in the firm's transformation of inputs into outputs.
4. **Infrastructure** - serves the company's needs and ties its various parts together, it consists of functions or departments such as accounting, legal, finance, planning, public affairs, government relations, quality assurance and general management.

[RECOLLECT EXAMPLES GIVEN IN CLASS IN ADDITION TO THE ABOVE BRIEF DESCRIPTION]